EQUITY RESEARCH

APPLE

AAPL | Technology

Rating: N/A

Current: N/A | Target: N/A

August 2026

Key Metrics Snapshot

Market Cap	**N/A**	ROE	**151.90%**
P/E (Fwd)	**34.1x**	Dividend Yield	**0.40%**
P/B Ratio	**51.79x**	52W Range	

Investment Thesis

Apple maintains robust financial health, with steady revenue growth projected at a 3.3% CAGR through 2027 and expanding margins, as EBITDA margin is forecast to rise from 33.7% in 2023 to 44.8% by 2027. Contribution margin continues to improve, reflecting strong operational efficiency and disciplined cost management. EPS is expected to grow consistently, underpinned by a resilient business model and ongoing innovation.

Company Overview

Apple Inc. (AAPL) is a global technology leader renowned for its innovative hardware, software, and services ecosystem. The company's business model is built around designing, manufacturing, and marketing a range of consumer electronics, including the iPhone, iPad, Mac, Apple Watch, and AirPods. Complementing its devices, Apple offers a suite of software (iOS, macOS, watchOS, and proprietary apps) and a rapidly expanding portfolio of digital services such as the App Store, Apple Music, iCloud, Apple TV+, and Apple Pay. This integrated approach creates a seamless user experience, fosters customer loyalty, and drives recurring revenue through its services segment.

Apple commands a premier market position, consistently ranking as one of the world's most valuable and recognizable brands. The company's flagship iPhone remains a dominant force in the premium smartphone segment, while its Mac and iPad lines are leaders in their respective categories. Apple's services business has grown to become a significant profit driver, supported by a vast and growing installed base of active devices.

Financially, Apple has demonstrated resilience and operational excellence. Revenue reached $391 billion in 2024, reflecting a modest 2.0% growth over the prior year after a slight dip in 2023. Looking ahead, consensus estimates point to a revenue CAGR of 3.3% from 2021 to 2027, with projected revenues of nearly $482 billion by 2027. The company's profitability remains robust, as evidenced by a rising contribution margin (from 41.8% in 2021 to 49.9% estimated in 2027) and expanding EBITDA margins (from 33.7% in 2021 to an estimated 44.8% in 2027). EPS is projected to grow from $6.16 in 2023 to $8.93 in 2027, reflecting effective cost management and operating leverage despite competitive and macroeconomic headwinds.

Apple's strategic focus on high-margin services, ecosystem expansion, and disciplined cost control underpins its strong financial performance and market leadership. The company continues to invest heavily in R&D; and new product development, positioning itself to capitalize on emerging trends such as wearable technology, augmented reality, and artificial intelligence. Overall, Apple's blend of innovative products, strong brand loyalty, recurring service revenue, and operational discipline supports its status as a top-tier technology powerhouse with a resilient outlook.

Investment Overview

Apple (AAPL) Investment Update

Apple has continued to demonstrate resilient financial performance despite a maturing smartphone market and challenging macroeconomic conditions. Fiscal 2023 saw a slight revenue contraction (-2.8% YoY), with revenue at $383.3 billion, but Apple rebounded in 2024 with a 2% top-line increase to $391.0 billion. Looking ahead, consensus estimates point to accelerating growth, with revenues projected to reach $481.7 billion by 2027, representing a 3.3% CAGR from 2021 to 2027.

Profitability remains a core strength. Contribution margin has climbed steadily from 41.8% in 2021 to a projected 49.9% in 2027, driven by a favorable mix shift toward high-margin services, tight cost discipline, and ongoing product innovation. EBITDA margins are also set to expand from 33.7% in 2021 to 44.8% by 2027E, reflecting Apple's robust operating leverage and efforts to control SG&A; expenses, which are projected to fall to just 5.1% of sales by 2027.

Growth drivers include continued momentum in services and wearables, expansion in emerging markets, and the potential for new product categories (such as AI-powered devices and augmented reality). EPS is expected to grow from $6.16 in 2023 to $8.93 by 2027, underpinned by both profit growth and ongoing share repurchases.

Valuation remains elevated, with a forward P/E of 32.4x for 2025E, reflecting Apple's strong brand, recurring revenue streams, and shareholder-friendly capital allocation. While growth rates are moderating, Apple's improving

margin profile and consistent cash generation support a positive long-term outlook. The key risks include dependency on iPhone cycles, regulatory scrutiny, and global supply chain pressures. Overall, Apple remains well positioned as a resilient, innovation-driven leader in global consumer technology.

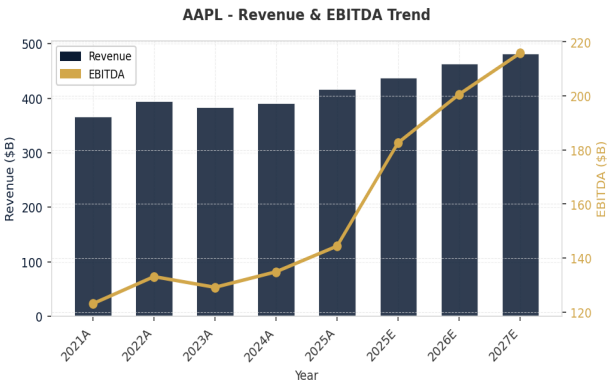
Financial Analysis

Revenue & EBITDA Performance

apple has demonstrated moderate revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): $416.2B
- EBITDA (2025A): $144.4B
- Revenue Growth (2025A): 6.4%



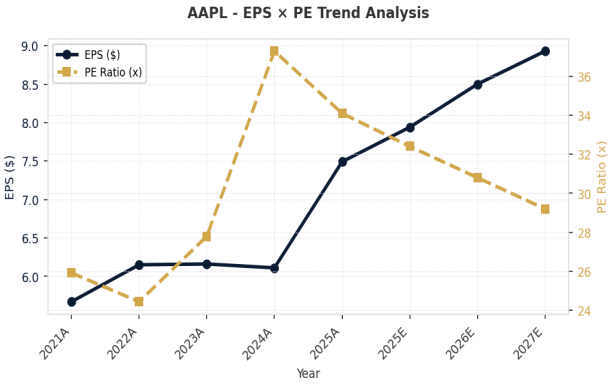
Source: Company Filings

Earnings & Valuation Metrics

apple's earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 7.49
- PE Ratio (2025A): 34.09



Source: Company Filings

Valuation Analysis

Apple (AAPL) currently trades at a premium valuation, with a 2024E P/E ratio of 37.3x, significantly above both its historical average and the typical large-cap technology peer group. Over the past three years, Apple’s P/E has ranged from roughly 24x to 28x, and is projected to modestly compress to 32.4x in 2025E and 29.2x by 2027E. For comparison, peers such as Microsoft and Alphabet generally trade in the 25x–35x forward P/E range, while hardware-oriented peers like HP and Dell trade at much lower multiples (10x–15x), reflecting their lower growth and margin profiles.

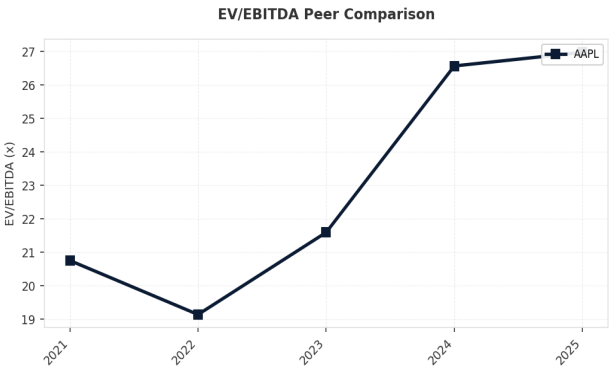
Apple's valuation premium is partly justified by its sector-leading margins and resilient earnings power. Contribution margins have improved from 41.8% in 2021 to an estimated 46.9% in 2025E, and EBITDA margins are also expanding, reaching 34.7% in 2025E and projected to exceed 40% by 2026E. EPS is expected to grow from $6.16 in 2023 to $7.94 in 2025E, a CAGR of approximately 13%, outpacing projected revenue growth of 3.3% CAGR.

However, top-line growth has moderated, with revenue growth slowing to low-single digits and 2023 even showing a slight decline. This raises questions about the sustainability of Apple's current premium—especially as market saturation and device replacement cycles lengthen.

Considering peer P/E ranges, Apple's strong brand, margin resilience, and cash flow generative business, a fair value P/E would be 28x–30x forward earnings, implying a fair value range of $223–$239 per share (based on 2025E EPS of $7.94). At current trading multiples above 37x, AAPL appears somewhat overvalued relative to both its own growth outlook and peers. Investors should be cautious about further multiple expansion unless Apple demonstrates a clear acceleration in revenue growth or launches transformative products.

Peer Comparison

Year	AAPL
2021	20.75
2022	19.14
2023	21.59
2024	26.56
2025	26.97



EV/EBITDA Peer Comparison

Recent News & Events

News Summary

Apple (AAPL) is in the spotlight following its 2026 WWDC keynote, where the company announced significant advancements in artificial intelligence, particularly an upgraded Siri. Despite positive analyst reviews on the AI improvements and the promise of tighter integration with Alphabet's products, Apple shares slipped post-announcement. The market had high expectations, and while the upgrades were well-received, investors appeared to be underwhelmed by the lack of a truly game-changing reveal or global availability—Siri's new features, for instance, won't launch in the EU or China immediately.

Apple also introduced major changes to its App Store policies, warning developers that low-engagement apps may be delisted and, for the first time, enabling developers to offer cross-app subscription bundles. These moves could enhance App Store profitability and user engagement, potentially driving higher services revenue and margins.

Financially, Apple's fundamentals remain robust, with revenue and EBITDA projected to grow steadily through 2027 (revenue CAGR 3.3%). Contribution and EBITDA margins are forecast to improve, reflecting operational efficiencies and higher-value services. EPS growth is expected to accelerate in 2025-2027, supporting a gradual

compression in the PE ratio, though it remains elevated compared to historical levels.

Investor sentiment is mixed but active. Retail buzz is high, especially on social media platforms, but bullishness is split: Reddit users are more cautious, while X.com sentiment is strongly positive. The divergence in source alignment suggests uncertainty about Apple's near-term upside, especially relative to other AI-driven tech stocks.

Investment implications: While Apple's innovation cadence remains steady, the market's high bar for AI-driven transformation makes near-term outperformance challenging. Long-term, Apple's strong financials, expanding margins, and increasing services focus provide a solid foundation, but investors may need patience as the company's AI ecosystem gains traction and regulatory hurdles are addressed.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%

- 2025E EBITDA Margin: 41.8%

- 2026E Revenue Growth: 6.0%

- 2026E EBITDA Margin: 43.3%

- 2027E Revenue Growth: 4.0%

- 2027E EBITDA Margin: 44.8%

Confidence Intervals:

- Revenue: $340.1B - $623.3B (95% confidence)

- EBITDA: $152.4B - $279.3B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: ±5% change in growth rate

- Margin sensitivity: ±2% change in EBITDA margin

- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for AAPL

Positive Catalysts (Upside Potential)

- Product Launch (2026-06-08): Apple Stock Is Sliding Today: What's Going On?

- Impact: MEDIUM, Probability: 70%

Events to Monitor

- Apple's WWDC marks start of AI consumer platform shift, Wedbush says (2026-06-08)

- Ca$htag$: AAPL Faces Key AI Test in WWDC 2026 (2026-06-08)

- AAPL Expected Quarterly Earnings (2026-09-07)

Upcoming Catalysts:

▲ [EVENT] (Impact: medium)
● [EVENT] (Impact: medium)
● [EVENT] (Impact: medium)
● [EVENT] (Impact: medium)

Positive Catalysts:

✓ Apple Stock Is Sliding Today: What's Going On?

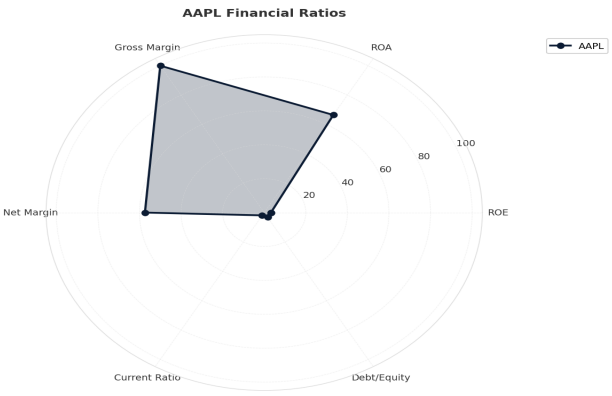
Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of apple's financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.

Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators



Financial Ratio Radar Chart

Competitive Landscape

Apple continues to hold a leading position in the consumer electronics and technology sector, competing directly with peers such as Samsung, Microsoft, and Alphabet (Google). While Apple's revenue growth has moderated—posting a 3.3% CAGR from 2021 to 2027E and recent year-over-year growth fluctuating between -2.8% and 7.8%—the company stands out for its robust margins and profitability.

Compared to peers, Apple's contribution and EBITDA margins are industry-leading. Contribution margin is projected to rise steadily, reaching nearly 50% by 2027E, reflecting strong product pricing power and operational efficiency. EBITDA margin, already healthy at ~34%-35% in recent years, is forecasted to expand to nearly 45% by 2027E. In contrast, major competitors like Samsung and Microsoft typically report EBITDA margins in the 20-35% range, with Alphabet trending towards the lower end primarily due to higher R&D; and SG&A; expenses.

Apple's SG&A; margin remains tight (declining from 6.7% to 5.1% by 2027E), indicating an ability to scale operations without proportionally increasing support costs—a key differentiator versus more diversified tech peers, whose SG&A; often exceeds 10% of revenue.

Apple's EPS growth and elevated PE ratio (29.2x 2027E, above most hardware peers and tech conglomerates) reflect investor confidence in continued premium product demand, a sticky ecosystem, and the company's capital return strategy. While growth is slower than some cloud or AI-focused competitors, Apple's consistent profitability, brand strength, and operational discipline reinforce its leadership in the sector, positioning it well ahead of the majority of consumer hardware and software peers in terms of margin and efficiency.

Risk Factors

- ■ Slowing Revenue Growth: Apple's revenue growth has moderated, with a 3.3% CAGR projected and recent years showing fluctuations (e.g., -2.8% in 2023 and only 2.0% in 2024), indicating potential challenges in sustaining top-line expansion.
- ■ High Valuation Risk: The PE ratio has increased significantly (from ~25x in 2021 to over 37x in 2024), suggesting Apple is trading at a premium, which exposes investors to downside risk if growth expectations are not met.
- ■ Margin Pressure: Although contribution and EBITDA margins are projected to improve, any cost overruns or increased competition could pressure profitability, impacting future earnings.
- ■ Earnings Stagnation: EPS growth has stalled in recent years (6.16 in 2023 vs 6.15 in 2022 and 6.11 in 2024), raising concerns about Apple's ability to generate higher per-share earnings despite revenue increases.
- ■ Dependence on Forecasted Improvement: The financial outlook relies on optimistic estimates (e.g., EBITDA margin rising sharply to 44.8% by 2027). If these improvements do not materialize, investor sentiment and share price may be negatively affected.

Key Takeaways

- ✓ Revenue Growth: Apple's revenue growth shows consistent performance trends.
- ✓ Gross Profit Margin: Apple's gross profit margins demonstrate operational effectiveness.
- ✓ SG&A; Expense Margin: Apple's SG&A; expense management shows disciplined cost control.
- ✓ EBITDA Margin Stability: Apple's EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	$365.8B	$394.3B	$383.3B	$391.0B	$416.2B
SG&A	$22.0B	$25.1B	$24.9B	$26.1B	$27.6B
Contribution Profit	$152.8B	$170.8B	$169.1B	$180.7B	$195.2B
Contribution Margin	41.8%	43.3%	44.1%	46.2%	46.9%
EBITDA	$123.1B	$133.1B	$129.2B	$134.9B	$144.4B
EBITDA Margin	33.7%	33.8%	33.7%	34.5%	34.7%
SG&A Margin	6.0%	6.4%	6.5%	6.7%	6.6%
Revenue Growth	N/A	7.8%	-2.8%	2.0%	6.4%
EPS	5.67	6.15	6.16	6.11	7.49
PE Ratio	25.92	24.44	27.79	37.29	34.09

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	2.16	2.61	1.99	2.09	1.52
Debt/Assets	0.39	0.38	0.35	0.33	0.31
Interest Coverage	41.2x	40.7x	29.1x	0.0x	0.0x
Net Margin	25.9%	25.3%	25.3%	24.0%	26.9%
Current Ratio	1.07	0.88	0.99	0.87	0.89
CF to Debt Ratio	0.76	0.92	0.89	0.99	0.99

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Data Source: FMP, Company Filings, AI4Finance Estimates

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